

# POL-FIN-003: Financial Systems and Payroll Separation of Duties Policy

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## 1. Statutory Authority, Regulatory Mandate, and Executive Control Framework

The preservation of corporate financial integrity, the protection of treasury liquidity, and the systematic mitigation of fraudulent disbursement risks represent non-negotiable statutory governance requirements under Sarbanes-Oxley Act (SOX) Section 404, Public Company Accounting Oversight Board (PCAOB) Auditing Standard No. 5, SOC 2 Type II Trust Services Criteria for Confidentiality and Privacy (Common Criteria 6.1 and 6.3), and international accounting standards. This policy establishes the formal regulatory framework governing authorization, dual custody, supervisory sign-off, and segregation of duties across enterprise financial disbursement platforms—specifically Vendor Payments (VENDOR\_PAYMENTS) and Human Resources Payroll Management (HR\_PAYROLL).

Internal financial accounting controls mandate that no single individual employee, regardless of title, seniority, or executive status, shall possess end-to-end operational authority to initiate, modify, approve, and execute monetary transfers, vendor master file changes, or payroll disbursements without independent multi-party verification. IT administrators, security analysts, and automated provisioning engines evaluating self-service access requests targeting financial systems must analyze all incoming payloads against the central entitlement registry and the operative control clauses defined within this document.

## 2. Vendor Disbursement Access Protocol (VENDOR\_PAYMENTS)

### 2.1 Operational Architecture and Entry Entitlements (PAYMENT\_CREATE)

The Vendor Payments platform (VENDOR\_PAYMENTS) manages corporate accounts payable ledgers, electronic funds transfers (EFT), automated clearing house (ACH) batches, international wire disbursements, and vendor master profile databases. Operational capabilities within VENDOR\_PAYMENTS are strictly bifurcated into transaction entry functions and final payment approval functions to maintain rigid internal accounting controls.

The payment creation entitlement (PAYMENT\_CREATE) authorizes accounts payable specialists, procurement analysts, and financial operations analysts assigned to the Finance Operations department (Cost Center CC-FIN-12) to enter vendor invoices, create payment voucher batches, record credit memos, and update vendor remittance routing details. Self-service access requests for PAYMENT\_CREATE submitted by verified personnel within CC-FIN-12 require direct manager sign-off from a Finance Operations manager, accompanied by documented business justification confirming active job responsibilities in accounts payable processing. Upon manager approval, PAYMENT\_CREATE is provisioned on a standard ongoing basis subject to mandatory semi-annual access recertification campaigns. Requests for PAYMENT\_CREATE originating from personnel outside Finance Operations must undergo secondary review by the Finance Controller.

### 2.2 Payment Release and Disbursement Approval Entitlements (PAYMENT\_APPROVE)

The payment approval entitlement (PAYMENT\_APPROVE) grants financial controllers, accounts payable managers, treasury directors, and corporate officers the supervisory authority to review payment voucher batches, inspect underlying purchase order documentation, sign off on bank disbursement files, and authorize final outgoing funds transfers. Because PAYMENT\_APPROVE represents the final supervisory barrier preventing unauthorized financial outflows, self-service requests for PAYMENT\_APPROVE are subject to heightened authorization scrutiny requiring dual managerial sign-off and explicit secondary sign-off from the Finance

Operations Controller.

### **2.3 Vendor Master Data Modification Entitlement (VENDOR\_MASTER\_EDIT)**

The vendor master modification entitlement (VENDOR\_MASTER\_EDIT) authorizes accounts payable specialists and vendor management analysts assigned to Finance Operations (CC-FIN-12) to create new vendor profiles, modify vendor banking and remittance routing details, and update vendor tax identification records within VENDOR\_PAYMENTS. Because altering a vendor's receiving bank account is a direct precursor to fraudulent redirection of outgoing payments, VENDOR\_MASTER\_EDIT is classified as an elevated, high-risk entitlement notwithstanding its operational similarity to PAYMENT\_CREATE.

Self-service requests for VENDOR\_MASTER\_EDIT submitted by verified personnel within CC-FIN-12 require direct manager sign-off from a Finance Operations manager, accompanied by documented business justification, and are subject to mandatory quarterly access recertification. Requests for VENDOR\_MASTER\_EDIT originating from personnel outside Finance Operations must undergo secondary review by the Finance Controller, consistent with Section 2.1.

### **2.4 Mandatory Separation of Duties: Vendor Payment Entry vs. Approval (SoD-FIN-01)**

In compliance with SOX Section 404 internal control mandates and enterprise risk management policies, combining payment entry capability with payment release authorization within a single identity introduces critical fraud vulnerability. An individual possessing both permissions could generate fictitious vendor profiles, input fraudulent invoices, approve the payment voucher, and execute wire transfers without secondary oversight.

Specifically, no individual employee may simultaneously hold both the payment creation entitlement (PAYMENT\_CREATE) and the payment approval entitlement (PAYMENT\_APPROVE) within VENDOR\_PAYMENTS. Any self-service access request that would result in an applicant holding both PAYMENT\_CREATE and PAYMENT\_APPROVE concurrently must be denied immediately by the IT administrator or automated access engine as an unmitigated Separation of Duties (SoD) conflict.

If a financial analyst currently holds an active PAYMENT\_CREATE entitlement and submits a self-service request for PAYMENT\_APPROVE (or vice versa), the system must evaluate the combined entitlement state against the central entitlement registry. If the pre-existing active entitlement is not formally relinquished and revoked prior to or concurrently with the new assignment, the request cannot be approved under any circumstances. Overriding an SoD-FIN-01 conflict requires an executive risk acceptance waiver signed by the Chief Financial Officer (CFO) and Chief Audit Executive, accompanied by mandatory full manual dual-key hardware approval workflows.

### **2.5 Mandatory Separation of Duties: Vendor Master Edit vs. Payment Approval (SoD-FIN-03)**

An individual who can both alter a vendor's banking details and approve outgoing payments to that same vendor can redirect payment to an account they control without requiring a second party to notice — the master-data change and the approval both occur inside a single identity's authority, independent of the maker/checker rule already established in Section 2.4.

Specifically, no individual employee may simultaneously hold both the vendor master modification entitlement (VENDOR\_MASTER\_EDIT) and the payment approval entitlement (PAYMENT\_APPROVE) within VENDOR\_PAYMENTS. Any self-service access request that would result in an applicant holding both VENDOR\_MASTER\_EDIT and PAYMENT\_APPROVE concurrently must be denied immediately as an unmitigated Separation of Duties (SoD) conflict, evaluated identically to SoD-FIN-01 under Section 2.4. Overriding an SoD-FIN-03 conflict requires the same executive risk acceptance waiver process described in Section 2.4.

## **3. Human Resources Payroll System Access Protocol (HR\_PAYROLL)**

### **3.1 Payroll Read-Only Access Entitlement (PAYROLL\_READ)**

The payroll read entitlement (PAYROLL\_READ) grants HR operations staff, payroll specialists, and compensation analysts view-only access to employee compensation records, wage histories, and tax withholding elections within HR\_PAYROLL, without the ability to modify any field. Because PAYROLL\_READ carries no modification capability, it is classified as a standard, low-risk entitlement.

Self-service requests for PAYROLL\_READ submitted by verified personnel within People Ops (CC-HR-01) or Finance Operations (CC-FIN-12) require standard single-level manager approval. Upon approval, PAYROLL\_READ is provisioned on an ongoing standing basis subject to mandatory annual access recertification — unlike PAYROLL\_EDIT and PAYROLL\_APPROVE, PAYROLL\_READ is not subject to the SoD-FIN-02 conflict rule in Section 3.4, since read-only access carries no capability that could be combined with another entitlement to bypass dual control.

### **3.2 Payroll Master Record Editing Entitlements (PAYROLL\_EDIT)**

The HR Payroll platform (HR\_PAYROLL) controls employee compensation master ledgers, base salary rates, hourly wage figures, bonus allocations, commission calculations, tax withholdings, and direct deposit routing numbers. The payroll modification entitlement (PAYROLL\_EDIT) authorizes payroll specialists and compensation analysts to update employee salary figures, input wage adjustments, record tax exemption changes, and process recurring payroll modifications.

Self-service access requests for PAYROLL\_EDIT submitted by authorized payroll operations staff require operational manager sign-off and HR compliance verification. Approved access is provisioned on a standard ongoing basis subject to mandatory quarterly access certification campaigns.

### **3.3 Payroll Batch Release and Funding Approval Entitlements (PAYROLL\_APPROVE)**

The payroll funding approval entitlement (PAYROLL\_APPROVE) authorizes senior compensation directors, payroll controllers, and corporate treasury officers to approve final payroll funding calculations, execute payroll bank drawdowns, and authorize distribution of electronic paychecks to clearinghouse banks. PAYROLL\_APPROVE represents the ultimate financial release valve for corporate payroll expenditure.

### **3.4 Mandatory Separation of Duties: Payroll Edit vs. Funding Approval (SoD-FIN-02)**

To prevent unauthorized self-compensation modifications, fictitious employee payroll setup, unapproved salary increases, or fraudulent payroll funding releases, the enterprise enforces strict segregation of duties between payroll record entry and payroll release authorization.

Specifically, no individual employee may simultaneously hold both the payroll editing entitlement (PAYROLL\_EDIT) and the payroll approval entitlement (PAYROLL\_APPROVE) within HR\_PAYROLL. Any self-service access request that would result in a requester holding both PAYROLL\_EDIT and PAYROLL\_APPROVE concurrently must be denied immediately as a critical Separation of Duties (SoD) conflict.

If a payroll specialist currently holds active PAYROLL\_EDIT privileges and requests PAYROLL\_APPROVE (or vice versa), the access engine must flag the request as an SoD violation and block provisioning unless the prior entitlement is surrendered. Exceptions require CFO sign-off and mandatory 100% post-payroll transaction audit by external auditors.

### **3.5 Compensation Structure Administration Entitlement (COMPENSATION\_BAND\_ADMIN)**

The compensation structure administration entitlement (COMPENSATION\_BAND\_ADMIN) authorizes modification of the underlying salary band definitions, job-leveling frameworks, and bonus-pool allocation formulas that PAYROLL\_EDIT and PAYROLL\_APPROVE operate against — distinct from editing an individual employee's payroll record, this entitlement changes the structural rules the entire payroll system applies. Because an unauthorized change to compensation bands could silently inflate pay across the entire organization without triggering any individual PAYROLL\_EDIT review, COMPENSATION\_BAND\_ADMIN is designated a

maximum-risk tier 1 entitlement, restricted to the Compensation Director and above.

Self-service requests for COMPENSATION\_BAND\_ADMIN require dual sign-off from the Chief Human Resources Officer and the Chief Financial Officer, in addition to formal documentation of the business rationale for the structural change. COMPENSATION\_BAND\_ADMIN is never provisioned on a standing basis; all grants are strictly time-boxed to the duration of the specific compensation review cycle, not to exceed ninety (90) calendar days, consistent with POL-GOV-000 Section 3.3.

## 4. Audit Trail Generation, Telemetry, and Recertification

All entitlement changes, approval decisions, denials, and role modifications across VENDOR\_PAYMENTS and HR\_PAYROLL generate immutable, append-only audit log entries recording the timestamp, requester identity, cost center, approving manager ID, and statutory compliance justification. Internal Audit conducts monthly sampling of all financial role assignments to verify continuous control operation.

## 5. Supplementary Accounting Guidelines and Auditing Mandates

Operational department leads must maintain strict documentary evidence for all financial access authorizations. In accordance with PCAOB standards, every vendor payment batch creation (PAYMENT\_CREATE) must be supported by an approved purchase order and matching receiving report (three-way matching rule). Any automated access request engine evaluating financial system access must verify that the requester's cost center matches Finance Operations (CC-FIN-12) or executive finance management. Requests for financial transaction permissions originating from non-finance units must be flagged for manual compliance review.

Furthermore, payroll adjustments processed under PAYROLL\_EDIT must undergo independent post-payroll audit verification by the HR Compliance Lead. If a payroll specialist submits an access request seeking elevated compensation modification permissions, the provisioning service must log the request to the high-risk security monitoring queue.

## 6. Policy Revision History

| Version | Date       | Author / Title              | Summary of Changes                                                                                                                                              |
|---------|------------|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.0.0   | 2021-04-10 | Internal Audit Group        | Initial release of financial dual control policy.                                                                                                               |
| 2.0.0   | 2023-09-18 | Office of the CFO           | Updated SOX 404 compliance rules and added PAYROLL_EDIT SoD constraints.                                                                                        |
| 2.1.0   | 2025-01-01 | Global Compliance Committee |                                                                                                                                                                 |
| 2.2.0   | 2026-02-01 | Global Compliance Committee | Added VENDOR_MASTER_EDIT entitlement and SoD-FIN-03 conflict rule under Section 2; added PAYROLL_READ and COMPENSATION_BAND_ADMIN entitlements under Section 3. |